4. Write a brief note on the applications of the provisions of the Indian Partnership Act, 1932 in the absence of partnership deed.
5. Jayaraman is a partner who withdrew ₹ 10,000 regularly in the middle of every month. Interest is charged on the drawings at 6% per annum. Calculate interest on drawings for the year ended 31st December, 2018.

(Ans: Interest on drawings: ₹ 3,600)

IV Exercises

1. Akash, Bala, Chandru and Daniel are partners in a firm. There is no partnership deed. How will you deal with the following?
   (i) Akash has contributed maximum capital. He demands interest on capital at 10% per annum.
   (ii) Bala has withdrawn ₹ 3,000 per month. Other partners ask Bala to pay interest on drawings @ 8% per annum to the firm. But, Bala did not agree to it.
   (iii) Akash demands the profit to be shared in the capital ratio. But, others do not agree.
   (iv) Daniel demands salary at the rate of ₹ 10,000 per month as he spends full time for the business.
   (v) Loan advanced by Chandru to the firm is ₹ 50,000. He demands interest on loan @ 12% per annum.

(Answer: (i) No interest on capital is payable to any partner
(ii) No interest is chargeable on drawings made by the partner
(iii) Profits should be distributed equally(iv) No remuneration is payable to any partner (v) Interest on loan is payable at 6% per annum)

2. From the following information, prepare capital accounts of partners Rooban and Deri, when their capitals are fixed.

Particulars	Rooban ₹	Deri ₹
Capital on 1st April, 2018	70,000	50,000
Current account on 1st April, 2018 (Cr.)	25,000	15,000
Additional capital introduced	18,000	16,000
Drawings during 2018 – 2019	10,000	6,000
Interest on drawings	500	300
Share of profit for 2018 – 2019	35,000	25,800
Interest on capital	3,500	2,500
Salary	Nil	18,000
Commission	12,000	Nil

(Answer: Capital account balance: Rooban: ₹ 88,000 (Cr.); Deri: ₹ 66,000 (Cr.)
Current account balance: Rooban: ₹ 65,000 (Cr.); Deri: ₹ 55,000 (Cr.))

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